that become commonplace in periods of high volatility. A short-term orientation, generally rooted in what I regard as an illusory belief in being able to time a market, can distort thinking and distract from long-range investment goals.

Longer-term success requires accepting periods of underperformance. An investor must maintain the resolve and staying power to avoid market fads and bubbles. There are no shortages of these: recent examples include the whimsical valuations found in the tech-stock/internet bubble of 1997–2000, the housing bubble and associated subprime lending that reached its zenith in 2005–2007, the overreaction to Covid-19's impact in 2020, and the casino mentality that drove many new technology companies to unjustifiable heights that same year.

Great patience is a necessary ingredient in investing, and that patience can be sorely tested. Operational changes at a company might take longer than expected to have an impact. A weak economy might create unexpected challenges to even the best corporate strategies. General market malaise, volatility, or discordant news can vex an investor. While shares in a high quality, growing business purchased at a reasonable price should perform well over time, that doesn't mean they will perform well all of the time.

Investment success is usually not linear; it comes in bursts and is often followed by setbacks. Investors should focus on the destination while bracing themselves for the journey. Even the most successful long-term investments have prolonged periods of underperformance.

Case Study: Microsoft

I find that tracking exceptional businesses over time—those that have compounded investor capital at robust rates for a number of years—helps in identifying attractive entry points for investors. Let's consider Microsoft as a case study.

While its fastest growth might have been behind it by 2010, I believed this great business franchise would deliver reasonable growth.